

open a hedge fund, or invest in an asset-allocation model using broad indexes, rebalancing regularly.

What of an ordinary investor who is a dollar-cost averager into broad indexes? They have a huge advantage over the world's best market timer, in that it's possible to actually do this! The perfect market timer does not and cannot exist. There is no crystal ball or a magic formula that allows for perfect market timing. Instead, our dollar-cost averager simply makes regular contributions to their portfolio. It is a simple, powerful strategy that requires no special prescience into the future, and uses a formula that really exists.

People who sit out of markets for long stretches while waiting for the perfect entry point into the markets are giving up their single most precious asset: *Time*.

The demographic group with the longest investing time horizon are the millennials and Gen Zs now in their 20s and 30s. The aforementioned Patrick O'Shaughnessy also wrote the book *Millennial Money: How Young Investors Can Build a Fortune*. In it, he observes that despite their long timeline, members of that generation have been missing out. They were significantly underinvested relative to how much time they have until retirement—at least until the 2020 pandemic. Then many took their stimulus checks and began day trading on Robinhood. That worked out exactly as well as you would expect it would: *Disastrously*.

Following the many Wall Street scandals of the 1990s and 2000s, culminating in the dramatic GFC, O'Shaughnessy writes it is no surprise that millennials as a group “don't trust Wall Street.” They also rank “major banks among most hated brands.”²²⁸

“The most basic (and important) decision you make as an investor is your allocation between major asset classes—primarily stocks, bonds and cash.” O'Shaughnessy observed in 2014 this cohort was significantly